LURA v C.H.I.P.S.

23CV46783

PLAINTIFF'S MOTION FOR PRELIMINARY APPROVAL OF CLASS & REPRESENTATIVE ACTION SETTLEMENT

Kristina Lura ("Plaintiff") as the representative plaintiff, filed this class action lawsuit against Calaveras Healthy Impact Product Solutions ("C.H.I.P.S." or "Defendant"). Plaintiff's First Amended Complaint ("FAC") alleges causes of action for wage and hour violations, including failure to pay overtime wages, wage statement violations, waiting time penalties and unfair competition. Plaintiff seeks penalties and damages under the Labor Code, Business and Professional Code, and the Private Attorney General's Act ("PAGA").

Plaintiff reports the matter has settled and moves for preliminary approval of settlement agreement ("Agreement"). (Code Civ. Proc., § 382, Cal. Rules of Court, rule 3.769.) Plaintiff has failed to file a proposed order with the motion as required by Cal Rule of Court 3.769(c). However, in the interest of judicial efficiency and because the motion is unopposed, the Court will consider the substance of the motion.

I. Settlement Approval Process

There are three stages to the Court's settlement approval process: (1) preliminary approval of the proposed settlement at an informal hearing; (2) notice of the settlement to all affected class members; and (3) final approval after a formal hearing. The current motion is the first stage of the process. The Court may approve settlements reached before or after certification of the class. (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 240, disapproved on another ground in *Hernandez v. Restoration Hardware, Inc*. (2018) 4 Cal.5th 260, 269.) Here, the class was not certified prior to the settlement, and Plaintiff seeks class certification at this time. The certification issue is addressed below.

When an action includes PAGA claims, the Court must review and approve the settlement and the proposed settlement shall be submitted to the Labor and Workforce Development Agency (LWDA) at the same time that it is submitted to the Court. (Lab. Code, § 2699, subd. (l)(2).) Plaintiff has provided notice to the LWDA.

II. The Proposed Settlement

The terms of the Agreement provide that Defendant shall pay a Gross Settlement Amount ("GSA") of $175,000 to be allocated across approximately 229 Class Members on a pro rata basis according to the number of weeks each Class Member worked during the Class Period. Costs to be deducted from the GSA are: (1) a maximum of up to 1/3 of the GSA ($58,333.33) and up to $25,000 in costs to Plaintiff's counsel for services rendered; (2) an award of up to $10,000 to the Plaintiff as the class representative; (3) $8,500 for to Phoenix Settlement Administrators for their fees and costs; and (4) $10,000 in PAGA penalties, which will be allocated 75% ($7,500) to the LWDA, and the remaining 25% ($2,500) added to the fund distributed to class members. (Agreement section 3.06(e).)

After deductions, the Net Settlement Amount ("NSA") will be $63,166.67. Plaintiff reports there are approximately 229 Class Members, and the projected average individual payment will be approximately $275.00 (MPA, p. 1.) Class Members will not need to do anything to participate in the settlement and the gross settlement is non-reversionary. (MPA p. 5.)

III. Ascertainable Class

Under California law, the basic requirements to sustain a class action are an ascertainable class, a well-defined community of interest in the questions of law and fact involved, and substantial benefits from certification that render proceeding as a class superior to the alternatives. (Code Civ. Proc. § 382; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

The Agreement defines the Settlement Class as: "all current and former non-exempt employees who are or were employed by Defendant in California at any time during the Class Period." The "Class Period" is defined as the time between December 18, 2018 through August 19, 2024. Additionally, "PAGA Group Members" means all Class Members employed by Defendant at any time during the PAGA Period, which is defined as June 19, 2022 through August 19, 2024. (Agreement Article I, sections bb and cc.) Each PAGA Group Member will receive a portion of the $10,000 allocated as part of PAGA penalties, after deductions to the LWDA.

The Court finds the proposed Settlement Class is ascertainable and satisfies the numerosity requirement, that the action raises common wage and hour questions for class members, and that Plaintiff is an adequate representative of the class. The Court therefore conditionally certifies the proposed Settlement Class.

IV. Reasonableness of the Settlement

The purpose of preliminarily evaluating class action settlements is to determine whether the proposed settlement is within the "range of reasonableness" for possible approval, and whether it is worthwhile to issue notice to the class and schedule a formal hearing. (Cabraser, Cal. Class Actions and Coordinated Proceedings (2d ed. 2020) ¶ 14.02.) A presumption of fairness applies if there has been arm's length bargaining, investigation has been sufficient to allow counsel and the court to act intelligently, class counsel is experienced in similar litigation, and the percentage of class members who object to the settlement is small. (*Ibid.*) "[P]re-certification settlements are routinely approved if found to be fair and reasonable." (*Wershba v. Apple Computer, Inc., supra*, 91 Cal.App.4th at p. 240.)

Plaintiff's counsel reports that the parties engaged in an all-day, arm's length mediation in August 2024; that prior to mediation, the parties engaged in significant informal discovery, which included production of timekeeping and payroll data, and the employer's written policies. (Declaration of Kristy R. Connolly ("Connolly Decl." ¶5, 6.) The mediator, Jill Sperber, is an experienced mediator. (Connolly Decl., ¶ 6.) Plaintiff's counsel, Kristy Connolly, has provided a declaration showing the Aegis Law Firm has investigated and researched the claims in controversy, related documents and evidence, and the asserted defenses. Plaintiff's law firm is experienced with this type of litigation and had sufficient data to make an informed decision regarding the fairness of the settlement. (Connolly Decl., ¶¶ 24-36 [setting forth the various experience of Plaintiff's attorneys]; ¶¶12 -20.) Based on the firm's investigation, and balancing the risks and obstacles in the various claims, Ms. Connolly concludes that the proposed settlement is a favorable result for the Settlement Class. (Connolly Decl., ¶ 20.) Having reviewed the claims at issue, Plaintiff's arguments in the memorandum of points and authorities, and the evidence submitted in support of the motion, the Court finds, for purposes of this preliminary approval, that the proposed settlement is fair and reasonable.

V. Notice

If the court has certified the litigation as a class action, notice must be given to the class members and must contain an explanation of the proposed settlement, and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement. (Cal. Rules of Court, rule 3.769(f).) Pursuant to California Rules of Court, rule 3.766(d), if class members are to be given the right to request exclusion from the class, the notice must include the following: (1) A brief explanation of the case, including the basic contentions or denials of the parties; (2) A statement that the court will exclude the member from the class if the member so requests by a specified date; (3) A procedure for the member to follow in requesting exclusion from the class; (4) A statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and (5) A statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel.

Here, the proposed notice provides a background of the litigation and claims, sufficiently defines the class members, and informs them of the settlement and their respective rights. The proposed notice sets forth a breakdown of the settlement amount, including the total gross settlement amount, and the maximum amounts of the proposed deductions (i.e., class counsel's fees; class counsel's costs; settlement administrator's costs; representative plaintiff payment; and PAGA penalties). In addition, the proposed notice sets forth how each class member's payment will be calculated and further explains how class members can opt out of or object to the settlement. (Connolly Decl., ¶ 40, Ex. 2.) Having reviewed the proposed notice, the Court finds that it complies with the California Rules of Court discussed above.

VI. Conclusion

Plaintiff has satisfied the procedural requirements for preliminary approval of a class action settlement, and the settlement amount appears fair and reasonable at this stage. The Court grants preliminary approval of the settlement; appointment of Plaintiff as the class representative; appointment of Plaintiff's counsel as class counsel; appointment of Phoenix Settlement Administrators as the third-party settlement administrator; and the proposed method and form of the notice. The Court also conditionally certifies the Settlement Class. Plaintiff's counsel is instructed to prepare an Order outlining the Court's ruling.

Accordingly, the Motion for Preliminary Approval of Class & Representative Action Settlement is **GRANTED**.

The Court sets the hearing for final approval for July 11, 2025, at 9:00 a.m. in Dept. 2.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to submit a formal Order in conformity with this Ruling in compliance with Rule of Court 3.1312.

MULRY v LAKESIDE VENTURE, LLC, et al

23CV47109

DEFENDANT LAKESIDE VENTURE'S MOTION TO SET ASIDE DEFAULT

On the Court's own motion, this matter is continued to 3/21/25 at 9:00 a.m. in Dept. 2 to be heard at the same time as two other scheduled motions in this matter.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal Order is required.